

# **MOVABLE HYPOTHEC ON INDIVIDUAL CLAIM**

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BETWEEN

**CAPITAL NORVEX INC.**

(Grantor — Hypothecary Debtor)

AND

**THE PARTNER**

(Hypothecary Creditor)

Civil Code of Quebec — arts. 2660, 2696-2701, 2710 et seq., 2748 et seq.

Registration at RPMR (Register of Personal and Movable Real Rights)

Date: \_\_\_\_\_

**IDENTIFICATION OF THE PARTIES****A. Grantor — Hypothecary Debtor**

**CAPITAL NORVEX INC.**, a legal person duly incorporated under the laws of Quebec, having its head office at 2705-1000 André-Prévost Street, Île-des-Sœurs (Verdun), Montreal (Quebec) H3E 0G2, hereinafter the « **Grantor** » or « **Capital Norvex** »;

Represented for the purposes hereof by: \_\_\_\_\_ (full name), acting as \_\_\_\_\_ (designated mandatary), duly authorized by a resolution adopted by the board of directors of Capital Norvex Inc. on \_\_\_\_\_, signed by Mrs. Suzanne Breton, President and sole shareholder, a copy of which is attached hereto (Schedule A — Corporate Resolution).

**B. Hypothecary Creditor — Partner**

\_\_\_\_\_ (corporate name or full name),  
\_\_\_\_\_ (legal form: corporation / individual / other), having its registered office or residing at \_\_\_\_\_, hereinafter the « **Hypothecary Creditor** » or the « **Partner** ».

Represented for the purposes hereof by: \_\_\_\_\_ (full name), acting as \_\_\_\_\_ (title).

**PREAMBLE**

WHEREAS the Partner has granted Capital Norvex financing (hereinafter the « **Partner Financing** ») in the amount of \_\_\_\_\_ Canadian dollars (\_\_\_\_\_ CAD), pursuant to a **Partnership Agreement** signed between the parties (hereinafter the « **Partnership Agreement** »), for the purpose of financing by Capital Norvex of a specific loan file granted to a third-party borrower (hereinafter the « **Loan Asset** »);

WHEREAS Capital Norvex in turn lends the funds received from the Partner to a third-party borrower (hereinafter the « **Borrower** »), secured by a first-rank real estate hypothec held by Capital Norvex on the property identified in Schedule B (hereinafter the « **Hypothecary Claim** » held by Capital Norvex);

WHEREAS Capital Norvex wishes to grant the Partner, as security for its obligations to the Partner under the Partnership Agreement, a **movable hypothec on the individual Hypothecary Claim** it holds against the Borrower, pursuant to articles 2696 to 2701 of the *Civil Code of Quebec*;

WHEREAS this movable hypothec covers **ONLY** the specific hypothecary claim relating to this Loan Asset, and **NOT the universality** of Capital Norvex's claims against its other clients;

NOW THEREFORE, the parties agree as follows:

## 1. CONSTITUTION OF THE MOVABLE HYPOTHEC

### 1.1 Constitution

The Grantor hereby **HYPOTHECATES** in favour of the Hypothecary Creditor, as security for the payment and performance of the Secured Obligations (as defined in Article 2.1), **the individual Hypothecary Claim** it holds against the Borrower, as described in Article 3 and Schedule B hereof.

### 1.2 Nature of the Hypothec

This hypothec is granted pursuant to articles 2660, 2696 to 2701, and 2710 et seq. of the *Civil Code of Quebec*. It is a **conventional movable hypothec on an individual claim**, duly published at the Register of Personal and Movable Real Rights (RPMR) in accordance with article 2710 of the *Civil Code of Quebec*.

### 1.3 Scope Limited to the Individual Claim

The parties expressly acknowledge that this hypothec **covers only the individual Hypothecary Claim** detailed in Schedule B, expressly excluding any other claim, present or future, held by Capital Norvex against its other clients or borrowers. This hypothec **is not a hypothec on a universality** within the meaning of articles 2666 to 2674 of the *Civil Code of Quebec*.

## 2. SECURED OBLIGATIONS AND AMOUNT

### 2.1 Secured Obligations

This hypothec secures the full performance by Capital Norvex of all its obligations to the Partner under the Partnership Agreement and hereunder (hereinafter the « **Secured Obligations** »), including notably:

- Full repayment of the principal of the Partner Financing, namely \_\_\_\_\_ Canadian dollars (\_\_\_\_\_ CAD);
- Payment of Interest (or Monthly Payments, as applicable under the Partnership Agreement) calculated at \_\_\_\_\_ % per year;
- Payment of all fees, accessories, damages, interest and indemnities provided herein or under the Partnership Agreement;
- Compliance with the transparency, good-faith and joint-management commitments under the Partnership Agreement;
- Compliance with discharge obligations at RPMR upon maturity.

### 2.2 Secured Amount — Article 2689 C.C.Q.

For the purposes of registration at the RPMR, the total amount secured by this hypothec is set at **one hundred twenty percent (120 %)** of the Partner Financing amount, namely \_\_\_\_\_ Canadian dollars (\_\_\_\_\_ CAD), to cover principal, interest, fees and accessories.

### 3. DESCRIPTION OF THE HYPOTHECATED CLAIM

#### 3.1 Precise Identification of the Hypothecary Claim

The individual Hypothecary Claim hypothecated hereby is the one detailed in **Schedule B**, which includes notably:

- **Borrower's Identity:** \_\_\_\_\_
- **Internal File Number:** \_\_\_\_\_
- **Principal Loan Amount:** \_\_\_\_\_ CAD
- **Date of Loan:** \_\_\_\_\_
- **Maturity Date:** \_\_\_\_\_
- **Interest Rate:** \_\_\_\_\_ % per year
- **Real Estate Hypothec Deed (minute number, notary, registration date):**  
\_\_\_\_\_
- **Quebec Land Register Inscription Number:** \_\_\_\_\_
- **Description of the Property as Security:** \_\_\_\_\_

#### 3.2 Scope of the Hypothecated Claim

The hypothec covers the Hypothecary Claim in its entirety, including:

- The principal of the loan granted to the Borrower;
- All present and future interest accrued on such principal;
- All fees, accessories, indemnities and penalties payable by the Borrower;
- All rights, remedies, accessory securities and additional guarantees granted by the Borrower (sureties, share pledges, accessory movable hypothecs, assignments of rents and insurance policies, etc.);
- All proceeds, insurance indemnities, expropriation indemnities and other amounts received by Capital Norvex in connection with this claim.

### 4. REGISTRATION AT THE RPMR

#### 4.1 Mandatory Registration

This movable hypothec shall be registered at the **Register of Personal and Movable Real Rights (RPMR)** pursuant to articles 2710 et seq. of the *Civil Code of Quebec*, as soon as possible and no later than concurrently with the first disbursement of the Partner Financing to Capital Norvex.

#### 4.2 Registration and Discharge Fees

All fees relating to the initial registration at the RPMR, as well as any subsequent modification or discharge, are borne exclusively by Capital Norvex.

#### 4.3 Renewal of Registration

Capital Norvex undertakes, at its expense, to renew the RPMR registration before its expiry, in accordance with article 2798 of the *Civil Code of Quebec*, for as long as the Secured Obligations are not fully extinguished.

## 5. GRANTOR'S COMMITMENTS — ABSOLUTE TRANSPARENCY

### 5.1 Transparency and Reporting

Capital Norvex undertakes to the Partner to maintain **absolute transparency** concerning the Hypothecated Claim throughout the duration of this hypothec, notably by:

- Maintaining a separate and identified bank account for the funds related to the relevant Loan Asset;
- Providing the Partner with **24/7 access** to the secure **Partner Portal** (PWA — Progressive Web Application) allowing real-time review of all information relating to the Loan Asset and the Hypothecated Claim;
- For construction and infrastructure loans, providing the Partner with access to the **Norvex Track™** module, through which the Partner **personally authorizes and executes each progressive Disbursement** 24 hours a day, 7 days a week, thereby ensuring operational control over the funds;
- Providing the Partner with a complete monthly report on the status of the Loan Asset, claim balance, payments received from the Borrower and any material event;
- Notifying the Partner **in writing within five (5) business days** of any Borrower Default Event or any event likely to affect the value of the Hypothecated Claim;
- Making available to the Partner, upon reasonable request, copies of any document of the Borrower's file (hypothec deed, appraisals, insurance policies, account statements, etc.).

### 5.2 Preservation and Defence of the Hypothecated Claim

Capital Norvex undertakes to **preserve, defend and enforce** the Hypothecated Claim with the diligence of an administrator of the property of others, in accordance with articles 1309 et seq. of the *Civil Code of Quebec*. Capital Norvex shall not, without the Partner's written consent:

- Renounce the Hypothecated Claim or any significant part thereof;
- Consent to a total or partial release of the Borrower's debt;
- Voluntarily subordinate its hypothecary rank to another creditor;
- Substantially amend the conditions of the Hypothecated Claim (maturity, rate, accessory securities) to the detriment of the Partner.

### 5.3 Joint Management in Case of Borrower Default

Upon a Borrower Default Event, Capital Norvex and the Partner **work in active partnership** to determine the best protection and recovery strategy, in accordance with the Partnership Agreement. Major strategic decisions (taking in payment, court-supervised sale, selection of real estate broker, conclusion of a settlement) are taken **jointly** by the parties.

### 5.4 Legal Fees of Realization

All legal fees, lawyers' fees, notary fees, Receiver fees and other costs incurred by Capital Norvex in recovery or Repossession proceedings are **borne exclusively by Capital Norvex**, and are collected as first priority from Sale Proceeds before any distribution. The Partner bears no additional cost beyond its initial Contribution.

### 5.5 Continuing Information and Cooperation

Capital Norvex undertakes to immediately inform the Partner of any event, notice or proceeding likely to affect the Hypothecated Claim, including: notice of court-supervised sale by another creditor, garnishment, insolvency proceeding against the Borrower, contestation of the real estate hypothec, loss or expropriation.

## 6. EVENTS OF DEFAULT OF CAPITAL NORVEX

The following constitute Events of Default of Capital Norvex hereunder:

- **Non-payment** of any sum owed to the Partner under the Partnership Agreement or hereunder, not remedied within thirty (30) days of a written notice from the Partner;
- **Material breach** of the transparency commitments under Article 5 (notably persistent refusal to provide secure portal access, refusal to send monthly reports, or refusal to notify a Borrower default), not remedied within thirty (30) days of a written notice;
- **Documented fraud** or misappropriation of funds by Capital Norvex, its directors or employees, in connection with the Loan Asset;
- **Insolvency**, bankruptcy, filing for creditor protection, proposal or appointment of a receiver against Capital Norvex;
- **Unauthorized alienation** of the Hypothecated Claim or the first-rank real estate hypothec;
- **Unauthorized voluntary subordination** of Capital Norvex's hypothecary rank to the Partner's detriment;
- **Material breach** of the Partnership Agreement, not remedied within thirty (30) days of a written notice, save in case of manifest urgency endangering the Contribution.

## 7. REMEDIES OF THE HYPOTHECARY CREDITOR

### 7.1 Hypothecary Remedies — Articles 2748 et seq. C.C.Q.

Should an Event of Default of Capital Norvex remain unremedied within the periods provided, the Partner may, after complying with the mediation procedure under Article 9 hereof (save manifest urgency), exercise all hypothecary remedies provided by articles 2748 et seq. of the *Civil Code of Quebec*, notably:

- **Taking in payment** of the Hypothecated Claim (arts. 2778 et seq. C.C.Q.) — the Partner becomes the holder of the Hypothecary Claim held by Capital Norvex against the Borrower;
- **Assignment of the Hypothecated Claim** (arts. 2710 et seq. C.C.Q.) — the Partner may assign or directly recover the claim from the Borrower;
- **Sale by the creditor** or court-supervised sale of the Hypothecated Claim;
- **Direct collection** of payments from the Borrower, in accordance with articles 2743 et seq. C.C.Q.;
- Any other remedy provided by law.

## 7.2 Subrogation of the Partner

Once one of the above remedies has been successfully exercised, the Partner is **subrogated** in the rights of Capital Norvex against the Borrower, including the benefit of the first-rank real estate hypothec on the property. Capital Norvex undertakes to sign all documents required to perfect such subrogation and to transfer the entire file to the Partner.

## 7.3 Cumulation of Remedies

The hypothecary remedies provided herein are cumulative and non-exclusive. The Partner may exercise any remedy, judicial or extrajudicial, for the realization of the Hypothecated Claim and the reparation of the prejudice suffered.

# 8. DISCHARGE UPON EXTINCTION OF OBLIGATIONS

## 8.1 Mandatory Discharge

Upon full extinction of the Secured Obligations (full repayment of principal, interest and fees), the Partner undertakes to **release** and authorize the **discharge** of this movable hypothec at the RPMR within ten (10) business days following receipt of written confirmation from Capital Norvex and all amounts owed.

## 8.2 Discharge Fees

RPMR discharge fees are borne exclusively by Capital Norvex.

# 9. MANDATORY MEDIATION BEFORE JUDICIAL RECOURSE

Before initiating any judicial recourse hereunder (excluding extrajudicial hypothecary remedies and urgent conservatory measures), the parties undertake to attempt to resolve any dispute by **mediation**, in accordance with the procedure provided in the Partnership Agreement. This mediation clause is **indissociable** from the one provided in the Partnership Agreement and applies *mutatis mutandis* to disputes arising from this hypothec.

# 10. INDISSOCIABILITY WITH THE PARTNERSHIP AGREEMENT

This movable hypothec and the Partnership Agreement entered into between the parties form **an indissociable contractual whole**. The two documents shall be read, interpreted and performed jointly and in a complementary manner. Any clause, condition or obligation set out in the Partnership Agreement applies fully to the parties hereto, and any breach of the terms of the Partnership Agreement automatically constitutes an Event of Default within the meaning of Article 6 hereof. In the event of any divergence or ambiguity between the two documents, the **interpretation most protective of the Partner** (as hypothecary creditor) shall prevail.

# 11. GOOD FAITH AND COLLABORATION

The parties undertake to perform this hypothec **in good faith**, in accordance with articles 6, 7 and 1375 of the *Civil Code of Quebec*, in a spirit of collaboration, transparency and mutual respect. No party may invoke a breach by the other without first having attempted to resolve the situation in good faith through direct communication and, as the case may be, through the mediation procedure under Article 9.

## 12. GENERAL PROVISIONS

### 12.1 Governing Law

This hypothec is governed by and shall be interpreted in accordance with the **laws of the Province of Quebec and the federal laws of Canada applicable**. Any dispute falls under the exclusive jurisdiction of the courts of the judicial district of Montreal, subject to Article 9 (Mandatory Mediation).

### 12.2 Amendments, Notices and Assignment

- **Amendments:** Any modification must be in writing, signed by both parties and registered at the RPMR if required.
- **Notices:** Any notice shall be given in writing, by email with acknowledgment of receipt or by registered mail.
- **Assignment by the Partner:** The Partner may assign its rights with Capital Norvex's written consent, which shall not be unreasonably withheld.

### 12.3 Severability, Entire Agreement and Waiver

- **Severability:** Any invalid clause does not affect the validity of the remainder of this hypothec.
- **Entire Agreement:** This hypothec, together with its Schedules and the Partnership Agreement, constitutes the entire agreement of the parties relating to the Hypothecated Claim.
- **Waiver:** No tolerance or delay in exercising a right constitutes a permanent waiver of that right.

### 12.4 Official Language

This hypothec is also available in French. **In case of divergence, the French version prevails in Quebec.**

## 13. SIGNATURES

IN WITNESS WHEREOF, the parties have signed this **Movable Hypothec on Individual Claim** on the date indicated below, having read it in full and obtained such legal advice as they deemed appropriate. This hypothec shall be registered at the RPMR as soon as possible following its signature.

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|-----------------------------------------------------------|
| <b>CAPITAL NORVEX INC. — GRANTOR (HYPOTHECARY DEBTOR)</b> |
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**Authorized Representative:**

**Title:**

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**Date:**

**Signature:**

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*Designated representative pursuant to the corporate resolution attached hereto (Schedule A), signed by Mrs. Suzanne Breton, President and sole shareholder of Capital Norvex Inc.*

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|---------------------------------------|
| <b>PARTNER — HYPOTHECARY CREDITOR</b> |
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**Corporate name or name:**

**Authorized Representative:**

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**Title:**

**Date:**

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**Signature:**

*Movable hypothec on individual claim granted pursuant to articles 2660, 2696-2701 and 2710 et seq. of the Civil Code of Quebec. Mandatory registration at the RPMR before the first disbursement.*

## **SCHEDULE A — CORPORATE RESOLUTION OF CAPITAL NORVEX INC.**

*Insert here a certified copy of the resolution adopted by the board of directors of Capital Norvex Inc., signed by Mrs. Suzanne Breton, President and sole shareholder, authorizing the designated mandatary to sign this movable hypothec in the name and on behalf of Capital Norvex Inc.*

## **SCHEDULE B — DETAILED DESCRIPTION OF THE HYPOTHECATED CLAIM**

### **1. Borrower Identification**

Name / Corporate name: \_\_\_\_\_

NEQ or other identifier: \_\_\_\_\_

Address: \_\_\_\_\_

### **2. Loan Characteristics**

Internal File Number: \_\_\_\_\_

Principal Amount: \_\_\_\_\_ CAD

Date of Loan: \_\_\_\_\_

Maturity Date: \_\_\_\_\_

Interest Rate: \_\_\_\_\_ % per year

Type of Loan: \_\_\_\_\_

### **3. Real Estate Hypothec Deed**

Notary: \_\_\_\_\_

Minute Number: \_\_\_\_\_

Date: \_\_\_\_\_

Land Register Inscription Number: \_\_\_\_\_

### **4. Description of the Property as Security**

Address: \_\_\_\_\_

Lot Number(s): \_\_\_\_\_

Cadastre: \_\_\_\_\_

Registration Division: \_\_\_\_\_